Vendor Tax Exemption and Registration Certificates

Halide Labs — Internal Tax Procedure · Policy ID: HL-TAX-POL-006 · Owner: Senior Manager, Tax · Effective: 1 July 2026 · Version 1.1

> FICTIONAL COMPANY POLICY FOR DEMO PURPOSES. Halide Labs is a fictional company. This memo is not tax advice.

1. Purpose

Whether a vendor should charge tax often depends on certificates and registrations: Halide Labs' own exemption or resale certificates given to vendors, and vendors' tax registration numbers. This procedure keeps those records complete and current so the tax engine's determinations are right.

2. Certificates Halide Labs gives to vendors (US)

- Halide Labs issues an exemption or resale certificate to a vendor only when Tax confirms the purchase qualifies in that state.
- If a vendor stops charging sales tax because of a certificate, but the purchase is **not** covered by it, the purchase is taxable to Halide Labs and use tax is accrued under HL-TAX-POL-001.
- Certificates are reviewed annually and when a vendor's product mix changes.

3. Registrations Halide Labs holds

Halide Labs' registrations are held in the registrations table (owner_kind = `entity`): US sales and use tax permits for CA, NY, TX and WA; Irish VAT (domestic and Union OSS); UK VAT (non-established); Japan qualified invoice issuer; Singapore GST; Australia GST (simplified). Tax keeps this table current; a change takes effect only from its `effective_from` date.

4. Vendor registrations

- For EU reverse charge (HL-TAX-POL-003), the supplier's status as a business established outside Ireland must be supported, and where a VAT number is relied on it is validated before the reverse charge is applied. A registration with `validation_status` other than `valid` is escalated to Tax before the invoice is processed.
- For Japan, input consumption tax credit depends on whether the supplier is a registered qualified invoice issuer (rules `JP-P-QUALIFIED` and `JP-P-NON-QUALIFIED`); the supplier's registration number must appear on the invoice.
- For Singapore, GST charged by a GST-registered supplier (rule `SG-P-DOMESTIC`) is claimable as input tax when the invoice meets local requirements.

5. Data handling

Registration and certificate numbers are business identifiers. Access is limited to tax and AP roles; other roles see masked values.